

Phase II -- Global vs local cycle factor (horse race)

Country	R2 CF	R2 GCF	R2 joint	t(CF_perp)	t(GCF)	Wald p	Wald p (BH)
Belgium	0.301	0.208	0.301	2.39	3.70	0.000	0.000
Germany	0.256	0.284	0.284	0.13	4.29	0.000	0.000
France	0.126	0.259	0.260	-0.22	4.16	0.000	0.000
Italy	0.287	0.074	0.313	3.72	2.05	0.000	0.000
Netherlands	0.344	0.264	0.350	3.25	3.98	0.000	0.000
Switzerland	0.073	0.197	0.198	-0.20	3.04	0.010	0.010
UK	0.262	0.260	0.284	1.77	3.95	0.000	0.000
Sweden	0.238	0.292	0.295	-0.52	4.53	0.000	0.000
Canada	0.320	0.352	0.359	0.71	4.14	0.000	0.000
Japan	0.260	0.272	0.298	1.54	3.88	0.000	0.000
US	0.326	0.329	0.335	0.87	4.35	0.000	0.000
G10 panel	0.280	0.244	0.293	5.99	13.81	0.000	--

LHS: local-currency $rx_bar_{i,t+12}$. 'R2 CF' and 'R2 GCF' are single-factor fits (Eq 18, Eq 20); 'R2 joint' is $rx_bar \sim CF_perp + GCF$, with CF_perp the part of the local factor orthogonal to GCF (Eq 19). HAC t-stats; Wald p tests joint significance; BH = Benjamini-Hochberg FDR across the eleven markets. A significant GCF with an insignificant CF_perp signals subsumption by the global factor. 'G10 panel' adds country fixed effects (BH not applicable).